

Punjab To Be Part of Electronics Supply Chains

Punjab's Minister for Industries & Commerce Aman Arora on how the state plans to be a leader in agritech, defence, aerospace and electronics system design

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PUNJAB, KNOWN FOR textile manufacturing, is diversifying into sunrise sectors such as electronics, semiconductors, electric mobility, defence and aerospace and medical devices. The Industrial and Business Development Policy 2026, launched early this year, supports this transition through incentives for modernisation, automation, quality certification, research and development, and deeper integration with global value chains.

Since 2022, Punjab has attracted around ₹ 1.5 lakh crore in investments with the potential to generate over 500,000 employment opportunities across manufacturing, chemicals, healthcare, logistics, IT, food processing and emerging sectors.

Minister for Industries & Commerce, Aman Arora, tells *Business Today* about his government's

vision to transform Punjab from a strong manufacturing state into India's leading centre for innovation-led manufacturing where research institutions, start-ups, micro, small, and medium enterprises (MSMEs) and global investors work together to create high-value products and quality employment.

Punjab was the fastest-growing major state in invested capital in the five-year period from FY19 to FY24.

Arora says in the future, Punjab will continue leveraging international roadshows, sector-specific partnerships and the Progressive Punjab Investors Summit to deepen engagement with global investors. The objective is to position Punjab as a destination where global companies find manufacturing excellence, skilled talent, innovation capacity and trusted long-term partnerships. Edited excerpts:



How is Punjab looking to ramp up its manufacturing capacity and capabilities?

Punjab has adopted a decisive strategy to transform itself into one of India's most competitive manufacturing destinations. Our focus is not merely on expanding industrial output, but on building a future-ready manufacturing ecosystem driven by world-class infrastructure, policy stability, ease of doing business and a highly skilled workforce.

Through the Industrial and Business Development Policy 2026, we are prioritising high-growth sectors, ensuring faster approvals through FastTrack Punjab, and providing targeted incentives to accelerate industrial investments.

Punjab is consciously moving beyond traditional volume-led manufacturing towards high-value, technology-driven production. While the state continues to enjoy a strong presence in textiles, engineering goods, bicycles, sports goods and food processing, our vision is to position Punjab as a leader in agritech, defence, aerospace and electronics system design and manufacturing (ESDM).

The results of this approach are already visible. The Vardhman-Aichi partnership is bringing advanced Japanese manufacturing technology to Punjab, while industries across sectors are expanding capacities and diversifying production.



What is the roadmap for industrial infrastructure development to support growth?